

4 Institutional Scalping Strategies Market Makers Keep SECRET (Automate Prop Firm Trading): Summary & Key Takeaways — Glimpse

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How Institutions Find Trading Edges (4 Secret Strategies)

Summary of the video “4 Institutional Scalping Strategies Market Makers Keep SECRET (Automate Prop Firm Trading)” by Chart Fanatics.

Institutional traders follow a rigorous pipeline: find validated ideas from research papers (especially SSRN), define precise entry/exit/position-sizing rules, backtest and validate with Monte Carlo analysis, then automate. Four proven strategies—opening range breakout, VWOP momentum, post-earnings drift, and overnight gap premium—show how to extract edges from academic research and adapt them for today's markets.

The Institutional Trading Pipeline

Retail vs. Institutional: Chasing Trades vs. Validated Strategies

Retail traders chase individual trade setups with no systematic validation; institutional traders apply strategies systematically across many trades to achieve statistical edge. A 70% win-rate strategy only guarantees profitability when applied over 100 trades, not on a single trade.

The Five-Step Institutional Pipeline

Every institutional strategy follows: (1) Idea generation from research, (2) Define precise rules (entry, exit, position sizing), (3) Encode into code, (4) Backtest and validate with Monte Carlo, (5) Automate live trading. Only after all steps are complete does the strategy trade live.

The Three Essential Components of Every Strategy

Entry condition (why open), exit condition (why close—typically take profit, stop loss, or time-based), and position sizing (how many contracts/shares). All three must be precisely defined before backtesting.

Backtesting & Validation

In-Sample vs. Out-of-Sample Split Testing

Divide historical data into 80% in-sample (for developing and tuning rules) and 20% out-of-sample (unseen data to test if strategy overfitted). If performance degrades on out-of-sample data, the strategy was curve-fit and will likely fail live.

Monte Carlo Reshuffle: Testing Edge Robustness

Reshuffle the order of all historical trades while keeping entry/exit prices the same, then replay thousands of times. If equity curves stay tightly clustered despite reshuffling, the edge is strong and order-independent. Wide dispersion indicates fragile edge dependent on lucky trade sequencing.

Monte Carlo Resampling (Bootstrap): Distribution of Outcomes

Resample historical trades with replacement (some trades appear multiple times, others not at all) to generate 10,000–20,000 simulated equity curves. Output shows expected profit, expected return, and probability of specific drawdowns,

providing confidence intervals for live trading.

Using Validation Metrics During Live Trading

After 10 trades, if maximum drawdown should be \$10,000 with only 5% probability of exceeding it, and you see a \$15,000 drawdown, that's a red flag to pause the strategy. Validation provides real-time risk thresholds.

Finding Ideas: The Research Paper Advantage

90% of Institutional Strategies Come from Research Papers

Institutional traders source strategy ideas from academic and industry research published on the Social Science Research Network (SSRN), which is 100% free. The goal is not to copy papers one-to-one but to extract the underlying 'why' and adapt it to current market conditions.

Two Types of Research: Academic and Industry

Academic research comes from university professors and researchers; industry research from hedge fund managers and traders. Both are published on SSRN and peer-reviewed, making them reliable starting points. Use LLMs to extract key findings from 30–60 page papers in minutes.

Extract the 'Why', Not the Strategy

Don't copy a paper's exact rules (they suffer from alpha decay). Instead, understand the market inefficiency it describes and the reason it exists. Then frame your own entry/exit/sizing rules around that inefficiency to create a testable strategy.

Strategy 1: Opening Range Breakout (Market Intraday Momentum)

The Finding: Overnight Gap + First 30 Minutes Predict Day's Close

Academic paper (2018) found that overnight gap plus the 9:30–10:00 a.m. range reveals buyer/seller imbalance, predicting the last 30 minutes of trading. Positive return in first 30 min → positive return in final 30 min.

The Why: Overnight Information + Restricted Trading Hours

After market close, news, earnings, and global positioning create new buy/sell orders. Many institutional players can only trade after 9:30 a.m., so orders collide in the first 30 minutes, revealing imbalance. This imbalance persists through the day because the market cannot digest it immediately.

The Strategy: Entry, Exit, Position Sizing

Entry: Go long if price closes above the 9:30–10:00 a.m. high. Exit: Stop loss at the range low; take profit at 1:1 or 1:2 risk-to-reward; or close at 3:30 p.m. if neither hit. Position sizing: Use volatility targeting—adjust contract count so risk is always \$10,000 (not fixed contracts).

Why Long-Only Works Better Than Short

When price breaks the range low, buyers step in to remove the imbalance, stopping the downside drift. When price breaks high, fewer sellers step in, allowing upside drift to continue. Academic research confirms long-only outperforms short.

Strategy 2: VWOP Momentum (Volume-Weighted Average Price)

The Finding: VWOP Crossovers Generate Consistent Returns

Industry paper found that going long when price closes above VWOP and short when below, exiting at VWOP crosses, generated ~671% returns over 5 years on QQQ (1-minute timeframe).

The Why: VWOP Algos Amplify Directional Moves

Institutional traders use VWOP execution algorithms to match the volume-weighted average price. When many traders use these algos simultaneously, they create heavy directional moves at VWOP levels. Price crossing above/below VWOP triggers cascading algo orders, amplifying momentum.

Entry: Go long when 1-minute bar closes above VWOP; go short when closes below. Exit: Close position when price crosses back through VWOP. Position sizing: Start with 1 contract for development; test on QQQ, ES, NQ, crude oil, or single stocks (logic applies across instruments).

VWOP Calculation and Application

VWOP = volume-weighted average price of all trades up to a specific point in time. Calculate from market open (9:30 a.m. US) or previous day's close. Backtest both to find optimal parameter.

Strategy 3: Post-Earnings Announcement Drift (PEAD)

60 Years of Research: Earnings Surprise Drifts for ~60 Days

Three seminal papers (1968, 1989, 2006) found that positive earnings surprises lead to sustained upward drift over ~60 trading days (~3 months), and negative surprises lead to downward drift. Price does not immediately reflect all information.

The Why: Low Coverage + Liquidity Constraints

Small-cap and mid-cap stocks have limited analyst coverage, so information travels slowly. Large fund managers may need weeks to build positions due to liquidity constraints, spreading their orders over time and creating drift. Mega-cap stocks show no edge (high coverage, immediate pricing).

Entry: Go long at open next day if earnings beat (actual EPS > analyst estimate) and price gapped up. Exit: Close after 60 days (or add stop loss ~5% below open or previous close). Position sizing: 1–2% of portfolio per stock, or conditional on EPS surprise magnitude.

Why Short Side is Weaker Now

CEOs pre-announce negative results to soften the blow, so negative surprises are already partially priced in before earnings release. Positive surprises still work because CEOs rarely warn of upside. Focus on long side and small-cap/mid-cap stocks, not mega-cap.

Strategy 4: Overnight Gap Premium (90% of Index Returns)

The Finding: 90% of Index Returns Come from Overnight Gaps

2008 paper found that 90% of S&P 500, NASDAQ, and other index returns came from overnight holdings (4 p.m. to 9:30 a.m.), while regular trading hours (9:30 a.m. to 4 p.m.) were essentially flat. This pattern persists across decades.

The Why: Overnight Risk Premium + Liquidity Overreaction

Overnight holders need compensation for lower liquidity and closed-market risk. Additionally, overnight information (news, earnings) causes price overreaction due to thin liquidity, then reversal toward fair value during regular hours. Both effects drive overnight outperformance.

Entry: Go long at 4 p.m. (market close). Exit: Close at 9:30 a.m. (market open). Position sizing: 1 contract for development; test on NQ (NASDAQ futures) from 2015 to present. Can combine with opening range breakout logic for overnight-only breakouts.

Overnight Opening Range Breakout Variation

Since 90% of returns occur overnight, develop an opening range breakout strategy that only trades overnight (4 p.m. to 9:30 a.m.) instead of daytime. This concentrates edge where the biggest directional moves occur.

Encoding Strategies with Language Models

LLMs Remove the Barrier to Code: Iterative Development

Use ChatGPT or similar to encode rules incrementally: first encode entry, test it, then add exit, test it, then add position sizing. Follow an iterative process rather than trying to build the entire strategy at once. LLMs are tools, not senior developers—validate each step.

Recommended Tools: MultiCharts, Pine Script, TradingView

MultiCharts uses 'EasyLanguage' (intuitive syntax); Pine Script (TradingView) is beginner-friendly. Both support backtesting and Monte Carlo simulations. Automate backtesting and validation; your job is research, refinement, and risk monitoring.

Automation Doesn't Mean You Stop Trading Manually

Automation is a tool to validate ideas and run multiple strategies simultaneously. You can still trade manually, use automated strategies as confirmation, or run a hybrid approach. The key is having confidence in your edge through proper validation.

Running Multiple Uncorrelated Strategies

The Institutional Advantage: Portfolio of Strategies

Institutional traders run 3–4+ uncorrelated strategies simultaneously. One may excel in trending markets, another in mean-reverting conditions. Together, they smooth returns and reduce drawdowns. Matteo ran 400+ strategies at the bank; now uses 25–100 depending on market conditions.

Complexity ≠ Profitability; Simplicity = Robustness

Matteo made 30 million euros for the bank, with 80% from extremely simple strategies. Complexity creates fragility—more rules mean more breakpoints. Simple, well-validated strategies outperform complex ones.

Monthly Review: Refine, Validate, Deploy, Repeat

Institutional job is continuous: research new ideas, refine existing strategies, validate with backtests and Monte Carlo, deploy live, monitor performance and risk. When strategies stop working, restart the pipeline. This is the organism of professional trading.

Volatility Targeting: The Underrated Edge

Volatility Targeting: Risk the Same Dollar Amount Every Trade

Instead of fixed contracts, adjust contract count so risk is always the same (e.g., \$10,000 per trade). On high-volatility days, use fewer contracts; on low-volatility days, use more. This smooths equity curve and improves risk-adjusted returns.

Academic Papers: 'Volatility Managed Portfolios' and 'Impact of Volatility Targeting'

Two seminal papers prove volatility targeting improves risk-adjusted performance. Yet retail traders rarely use it. This simple change—conditional position sizing based on volatility—can significantly boost Sharpe ratio.

Example: High vs. Low Volatility Days

High volatility day with \$30,000 range → use 1 contract, risk \$10,000. Low volatility day with \$1,000 range → use 10 contracts, still risk \$10,000. Outcome: volatile days don't dominate strategy performance; returns smooth out.

Notable quotes

I made more than 30 million euro for the bank, 80% of it were out of extremely simple strategies. — Matteo Conte

90% of institutional traders were going like in one place to get their trading strategies ideas. The place guys is the social science research network. — Matteo Conte

You don't copy the paper. You look at its findings and you look for the underlying reason why. — Matteo Conte

Action items

Visit SSRN (Social Science Research Network) and download 2–3 research papers on trading strategies relevant to your market of interest.

Use ChatGPT or Claude to extract the key findings and 'why' from a 30–60 page paper in under 10 minutes.

Define entry, exit, and position sizing rules for one strategy based on a research paper's findings.

Encode the strategy iteratively using MultiCharts EasyLanguage or Pine Script: first entry, then exit, then position sizing.

Backtest the strategy on 10 years of historical data, splitting into 80% in-sample and 20% out-of-sample.

Run a Monte Carlo reshuffle (1,000+ simulations) to test edge robustness and calculate expected drawdown distribution.

If in-sample and out-of-sample results are similar and Monte Carlo shows tight distribution, paper-trade or forward-test for 2–4 weeks before live trading.

Implement volatility targeting: adjust position size so risk is constant (e.g., \$10,000 per trade) regardless of daily volatility.

Develop 3–4 uncorrelated strategies (e.g., opening range breakout, VWOP momentum, PEAD, overnight gap) and run them simultaneously.

Set up a monthly review process: monitor live performance, identify underperforming strategies, refine rules, and restart the pipeline.

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